

Q3 FY26 FINANCIAL PERFORMANCE REPORT

Quarter Ended 30 September 2026 | Draft v2.3

Prepared by: Ramesh Krishnamurthy, Chief Financial Officer | For Board Meeting: 28 October 2026

Document Control

Version	Date	Author	Summary of Changes
v1.0	02-Oct-2026	FP&A Team	Initial draft compiled from quarter-close process
v1.5	08-Oct-2026	R. Krishnamurthy	Added CFO commentary and margin analysis
v2.0	12-Oct-2026	R. Krishnamurthy	Added APAC deferred revenue section
v2.2	15-Oct-2026	A. Fernandes (Legal)	Restricted Section 4 pending audit sign-off
v2.3	18-Oct-2026	R. Krishnamurthy	Current draft — board pre-read

Classification: CONFIDENTIAL — Board and CFO Office only. Section 4 additionally restricted to Legal and CFO pending audit sign-off.

Distribution: CEO; Board Audit Committee; CFO Office.

Do not circulate externally, to Investor Relations, or to the full board pack until Section 7 guidance is finalised.

<u>Document Control</u>	1
<u>1. CFO Summary Note</u>	1
<u>2. Q3 Revenue Performance</u>	1
<u>2.1 Revenue by Segment</u>	1
<u>2.2 Revenue by Month Within Quarter</u>	1
<u>2.3 5-Quarter Trend</u>	1
<u>3. Margin & Cost Analysis</u>	1
<u>3.1 Margin Summary</u>	1
<u>3.2 Infrastructure Cost Detail</u>	1
<u>4. APAC Deferred Revenue — Restricted Pending Audit</u>	1

4.1	
<u>Background</u>	1
4.2 Deferred Revenue	
<u>Ledger</u>	1
4.3 Open Question for Legal and	
<u>Audit</u>	1
5. BFSI Collections & Receivables	
<u>Aging</u>	1
5.1 Receivables Aging — Top 3 Overdue BFSI	
<u>Accounts</u>	1
6. Action	
<u>Items</u>	1
7. Q4 FY26	
<u>Guidance</u>	1
7.1 Guidance Range and	
<u>Assumptions</u>	1
7.2 Items Still Under Review — Not for External	
<u>Use</u>	1
8.	
<u>Appendix</u>	1
8.1 Summary	
<u>P&L</u>	1
8.2	
<u>Definitions</u>	1

1. CFO Summary Note

Q3 came in below plan on revenue but the underlying story is more nuanced than the headline number suggests. We closed the quarter at INR 187.4 Cr against a board-approved plan of INR 195.0 Cr, a miss of 3.9%, and a sequential decline from Q2's INR 192.8 Cr. Domestic and Americas held up well. APAC is where the quarter gets complicated — see Section 4 for the deferred revenue position, which remains under review with our auditors and should not be treated as resolved.

Margins compressed more than I'd like — gross margin down to 61.2% from 64.8% in Q2 — driven almost entirely by the GPU and cloud infrastructure cost step-up we took on in July to support the new AI-assisted support product. I expect this to stabilise, but 'expect' is doing some work in that sentence and the Q4 guidance in Section 7.1 is built on that assumption holding.

On a brighter note, APAC revenue continued to grow year-on-year, and BFSI vertical bookings remain strong even though collections have lagged (Section 5). I'm comfortable presenting Q4 guidance of INR 198–204 Cr to the board, with the caveats laid out in Section 7.1.

2. Q3 Revenue Performance

2.1 Revenue by Segment

Segment	Q3 FY26 (INR Cr)	Q3 FY25 (INR Cr)	YoY Growth
Domestic (India)	98.2	84.6	16.1%
APAC (ex-India)	42.1	41.8	0.7%
Americas	31.5	26.9	17.1%
EMEA	15.6	13.2	18.2%
Total Revenue	187.4	166.5	12.6%

Note on APAC: the 0.7% YoY growth above reflects the segment as currently recognised. APAC includes INR 11.6 Cr of deferred revenue from the Q2 Singapore platform migration that finance and the regional team have not yet agreed how to recognise (see Section 4). If included on a billed basis, APAC growth would read closer to 8% YoY — the figure used in early management commentary drafts before Legal flagged it for review. ^[1]

2.2 Revenue by Month Within Quarter

Month	Total Revenue (INR Cr)	vs Monthly Plan	Notes
July 2026	65.8	+1.2%	On track
August 2026	62.1	-3.4%	BFSI collections slip began
September 2026	59.5	-8.1%	APAC recognition pause; collections still slow

The miss is not evenly distributed — July was essentially on plan. The shortfall concentrated in August and September, coinciding with both the APAC recognition pause and the start of the BFSI collections slowdown described in Section 5.

2.3 5-Quarter Trend



Figure 1: Quarterly revenue (bars, left axis) and gross margin % (line, right axis), Q3 FY25–Q3 FY26.

3. Margin & Cost Analysis

3.1 Margin Summary

Metric	Q3 FY26	Q2 FY26
Gross Margin	61.2%	64.8%
EBITDA Margin	18.3%	22.1%
Cloud / GPU Infra Cost (% of Revenue)	14.7%	9.8%

The infrastructure cost step-up is the dominant story behind margin compression: GPU and cloud spend rose 34% quarter-on-quarter following the July rollout of AI-assisted support tooling. This was budgeted as a Q3-only investment; whether it normalises in Q4 is the single largest assumption behind the guidance in Section 7.1.

3.2 Infrastructure Cost Detail

Month	GPU/Cloud Spend (INR Cr)	vs Prior Month	Driver
July 2026	7.9	+18%	AI-assisted support launch
August 2026	9.4	+19%	Usage scaling faster than forecast
September 2026	10.2	+9%	No optimisation work completed yet

4. APAC Deferred Revenue — Restricted Pending Audit

4.1 Background

The Q2 Singapore platform migration generated INR 11.6 Cr in billings that have not yet been recognised as revenue. The regional finance team and corporate FP&A have differing views on the appropriate recognition point; this has not been resolved with the external auditors as of this draft.

4.2 Deferred Revenue Ledger

Item	Originally Planned Recognition	Amount (INR Cr)	Status
Singapore Migration — Phase 1	Q2 FY26	6.2	Pending amendment
Singapore Migration — Phase 2	Q3 FY26	3.8	UAT not signed
APAC Support Renewal Add-on	Q3 FY26	1.6	Service start delayed by client
Total		11.6	

4.3 Open Question for Legal and Audit

Three recognition paths have been discussed informally: (a) full recognition in Q4 if the contract amendment and UAT sign-off both land within the quarter, (b) partial recognition limited to Phase 1 only, or (c) deferral into FY27 if Legal determines the amendment constitutes a new performance obligation. No path has been confirmed. This section must not be cited in external communications until a path is confirmed.

5. BFSI Collections & Receivables Aging

BFSI vertical DSO deteriorated from 68 to 87 days against an internal target of 62 days. Three accounts account for the bulk of the slippage.

5.1 Receivables Aging — Top 3 Overdue BFSI Accounts

Account	0–30 days	31–60 days	61–90 days	90+ days	Total (INR Cr)
Continental Insurance Group	0.8	1.2	0.6	0.0	2.6
Unity Trust Financial	0.4	0.9	1.1	0.3	2.7
Falcon Capital Bank	0.6	0.5	0.2	0.0	1.3
Total	1.8	2.6	1.9	0.3	6.6

Collections has flagged Continental and Falcon as ‘likely to resolve in Q4’ and Unity Trust as ‘uncertain, pending the client’s own audit cycle.’^[2]

6. Action Items

Action	Owner	Deadline	Status	Risk if Missed
Resolve APAC deferred revenue treatment with auditors	R. Krishnamurthy	15-Nov	In Progress	Restatement risk
Renegotiate GPU/cloud vendor contract for Q4 rate	Infra Finance Lead	10-Nov	Not Started	Margin miss continues

Escalate collections on 3 overdue BFSI accounts	Collections Team	05-Nov	In Progress	DSO worsens further
Finalise Q4 guidance commentary for board pack	CFO Office	20-Oct	In Progress	Board surprised at meeting

7. Q4 FY26 Guidance

7.1 Guidance Range and Assumptions

Management is proposing Q4 FY26 revenue guidance of INR 198–204 Crores. This range rests on three assumptions, none of which are yet confirmed:

- APAC deferred revenue (INR 11.6 Cr) is recognised within Q4, pending the auditor review in Section 4.
- GPU and cloud infrastructure costs stabilise at the Q3 exit run-rate rather than continuing to climb with usage growth.
- BFSI vertical collections recover toward the 62-day DSO target, unlocking working capital currently tied up in the three accounts in Section 5.1.

If any one of these assumptions does not hold, internal modelling suggests guidance could miss by 4–8%. No sensitivity range has yet been shared with the board.

7.2 Items Still Under Review — Not for External Use

The APAC deferred revenue treatment (Section 4) and the BFSI collections recovery assumption (Section 7.1) are both unresolved as of this draft. Neither should be cited in external communications, investor updates, or board materials until Legal and the auditors confirm treatment.

8. Appendix

8.1 Summary P&L

Line Item (INR Cr)	Q3 FY26	Q2 FY26	Q3 FY25
Revenue	187.4	192.8	166.5
COGS	72.7	67.8	60.8
Gross Profit	114.7	125.0	105.7
R&D	36.5	37.0	32.8
Sales & Marketing	28.9	29.8	26.4
G&A	15.0	15.6	14.0
EBITDA	34.3	42.6	32.5
EBITDA Margin	18.3%	22.1%	19.5%

All figures above are unaudited management estimates pending year-end close. ^[3]

8.2 Definitions

- DSO — Days Sales Outstanding, average time to collect receivables.
- Deferred Revenue — Revenue billed or collected but not yet recognised under accounting policy.
- BFSI — Banking, Financial Services and Insurance, a Nexova revenue vertical.
- UAT — User Acceptance Testing, a client sign-off milestone gating revenue recognition.

^[1] Per FP&A reconciliation memo, 14-Oct-2026 (pending Legal and audit sign-off).

^[2] Source: Order-to-Cash aging report, Finance Operations, as of 30-Sep-2026.

^[3] Unaudited management figures; subject to year-end audit adjustment.